

NORWEGIAN AIR SHUTTLE ASA NAS.OL

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by

BKG29

2026 2027

Price:	21.91	EPS	1.5	3.5
Shares Out. (in M):	1,355	P/E	8.59	3.5
Market Cap (in \$M):	1,461	P/FCF	4.4	3
Net Debt (in \$M):	1	EBIT	65	500
TEV (in \$M):	2,022	TEV/EBIT	40.5	4

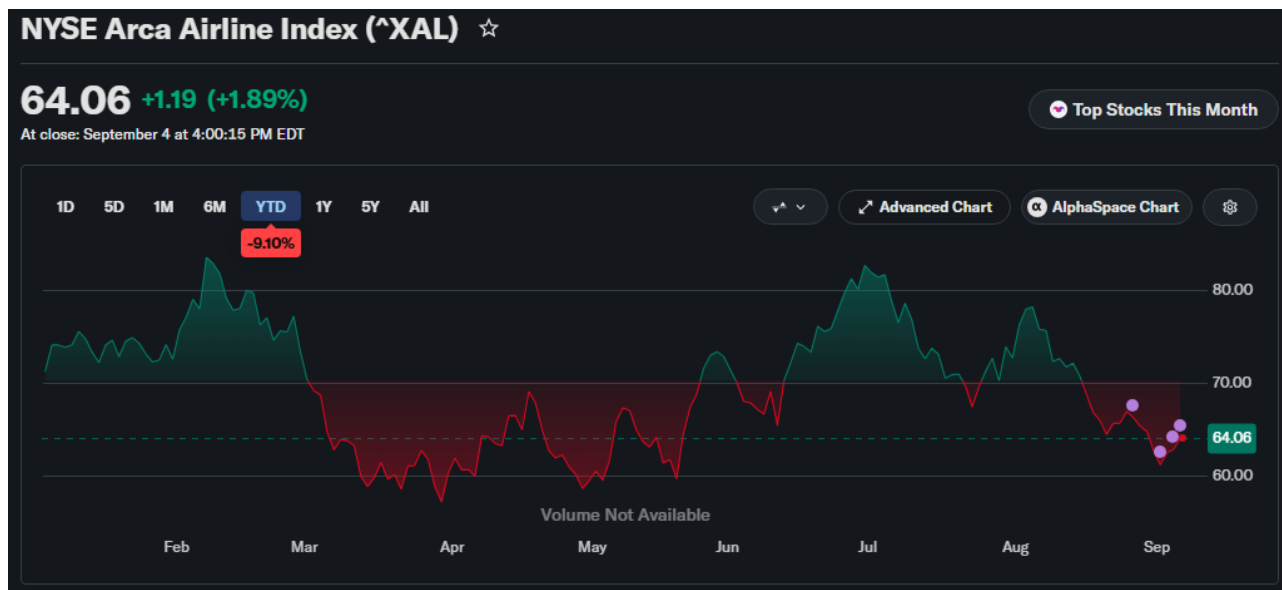
Description

Presentation and background (Why does this opportunity exist?)

Norwegian air shuttle is a turn around situation, where I see significant upside and strong earning potential. I think we can expect to see Norwegian get to a stock price of about 50 NOK pr. share. This is about a 300% upside from the current share price of about 13 NOK. Why is Norwegian priced so cheap?

2 reasons:

1: Currently, war in Iran is raging and pushing oil prices up. This can be a tough situation for airlines, as their fuel prices follow the oil, and therefore eating the margins of the airline businesses. We have seen a drop across the entire industry (see chart):



I won't get into details about this complex situation, but I don't think that oil prices at +80 \$ is the new normal, and an oil price of 60-70 \$ is more likely long term.

2: During the 2010's. Norwegian was playing a big expansion game against some of the largest and most established airlines in the world. This tough field required a lot of capital which Norwegian got in the form of debt. This made Norwegian a quite levered company, that was playing a tough game in an industry that is easily influenced by macro politics and economics.

While playing the highly risky and levered game, covid 19 hit and forced Norwegian into bankruptcy court.

They reemerged from bankruptcy in may 2021, with a balance cleansed from all long haul debt and old bank loans, new capital from investors and the Norwegian government, a significant downsize in fleet and a new and more conservative plan for the future of Norwegian. But to come back with virtually no debt, they had to compensate their creditors, which came in the form of stock. But, most credit institutions are not allowed to hold equities, so they are forced to dump the shares they got as compensation, which puts massive selling pressure on the stock.

Today, with the selling pressure being behind us, and high oil prices hopefully not being a permanent thing, we as investors now have the opportunity to pick up a strong Scandinavian airline, for 25 cents on the dollar. Or 25 øre on the krone.

The new business model

Norwegian before 2020, was a global business, competing with low cost giants, such as Ryan Air. Now, after the bankruptcy, they shifted their focus from the global market, to being a dominant player in Scandinavia. They went from being miles wide, to miles deep.

They have done so by acquiring other adjacent businesses, this is Widerøe and Nordic Leisure Travel Group (NLTG).

Norwegian

The new Norwegian with a lot more focus on their core customer base in Scandinavia has its foundation from the low cost carrier model they used to run at Norwegian. The structure from the low cost carrier is a nice benefit, when you are trying to diversify into other brands of business, because the airline is already being run super tight, because of the small margins in the low cost carrier business. Now when we introduce the synergies from the acquisitions and better margins with better asset utilization, I think we can expect a more profitable Norwegian in the future.

Today, Norwegian is operating a fleet of 160 planes, where 48 are older, smaller planes in the Widerøe segment. These aircraft are on the older side, but that is a strategic move from Norwegian and Widerøes side. They are waiting for the zero-emission technologies to mature and get into mass production. This is only possible for this segment, as they are smaller planes for shorter flights.

Excluding Widerøe's smaller planes, Norwegian is operating 107 aircraft, being mostly fairly modern Boeing 737. Norwegian is targeting a 50/50 balance of owned and leased planes, as they argue it is the way they will get the most financial flexibility while holding lease costs down. Norwegian is actively trying to purchase their lease planes free from the leasing company, but only when it makes economic sense. They recently purchased 10 of the Boeing 737-800 free from lease, and with the purchase of the 10 aircraft, they are now very close to their 50/50 balance in lease and owning.

Norwegian is currently in a modernization period of their fleet. They have put an order down at Boeing for 80 new aircraft that will arrive continuously from now till 2031. Norwegian will take ownership of some aircraft, but some of them will do a sale-and-leaseback deal, with a leasing company. When Norwegian gets to replace the older aircraft with newer ones, they expect to save 14% on jet fuel. This will lower operating costs for the airplanes and give the margins an even stronger cushion in a time of high oil prices.

Widerøe:

Probably my favorite part of the entire Norwegian air shuttle thesis, is the acquisition of Widerøe. The acquisition was published in 2023, and finalized in 2024. Widerøe is contributing over 5.5 billion NOK in revenue on a TTM basis, and generating roughly 350 million NOK in EBIT. This segment represents a little more than 10% of the entire business.

The north and west part of Norway is a geographical nightmare for regular transportation, because of the mountains and fjords in the area. This makes the locals very reliant on air travel. But because of this difficult terrain the airports in these remote areas often have very short runways, some down to 800 meters. Widerøe is operating a specialized regional fleet, specialized for these conditions, mostly consisting of the Dash 8-100/-200 model. This model is tiny and only able to carry 39 passengers.

Widerøe is nearing a monopoly in these more remote and short runway routes, with their specialization in these conditions. A part of the monopoly-like situation is the contracts they have with the Norwegian government, so-called PSO contracts (Public Service Obligations). These contracts give Widerøe the duty to transport government personnel to and from these remote areas of Norway, such as healthcare personnel engineers, etc. The PSO contracts are a super reliable source of revenue for Widerøe, and are in no danger of being taken over by a competitor. Widerøe is the only airline in the north able to supply the demand for the short runway flights, because of their relatively large fleet of Dash-8 planes.

The PSO-routes generate 40-50% of Widerøes revenue, and because the government needs flights all year, it takes a lot of the seasonality of the regular airline out of Widerøe. The Norwegian government recently put an upper limit on airplane tickets for the locals in the remote areas of Norway (nearly halved the price). The Norwegian government is then compensating the difference to Widerøe.

Because of the acquisition of Widerøe, Norwegian is now able to connect the regional flights with Widerøe to Norwegians European network through their loyalty program "Spenn". Here instead of purchasing two tickets, one with Widerøe, and then another with a random airline, you now can buy one ticket, Widerøe, regional plane and then Norwegian to the rest of Europe. Which results in more sales, and better load factor, which is a part of the program X strategy.

Widerøe is a complementary business for Norwegian, with connecting flights and network effects, other than that, Widerøe has their own MOAT in being almost a monopoly on the short runway flights.

Nordic Leisure Travel Group:

As late as June 2026, Norwegian announced the acquisition of Nordic Leisure Travel Group (NLTG). The deal was funded with a combination of Norwegians cash holdings, minor credit facilities and issuance of some Norwegian stock for the NLTGs previous owners. NLTG is by far the biggest player in packaged holiday travel in the north. They hold legacy brands such as, Spies in Denmark, Ving in Norway and Sweden and Tjäreborg in Finland. All super strong brands in Scandinavia. Another part of the deal is the airline Sunclass owning 12 modern Airbus aircraft. The last piece of the deal is Sunwing and Sunprime that is

holding a portfolio of Own Concept hotels in south of Europe and a bit in Thailand. NLTG has recorded 16,5 billion NOK in revenue and almost 800 million NOK in EBITA on a TTM basis.

Normally a traditional low-cost airline, such as Norwegian, operates on small margins, and is constantly in price war where the consumer only chooses their ticket based on the ticket price.

With the acquisition of NLTG Norwegian is now entering a segment where price isn't the only factor. The consumer is now buying convenience, with the package solutions from NLTG. Now Norwegian owns the entire chain of holiday products the Scandinavians would like on their charter trips. Flight, hotels, transfers and guidance. This bundling method gives the group pricing power and gives better asset utilization across the board.

Furthermore, this model also takes off a lot of the seasonality of a regular airline. Previously Norwegian has been suffering during the winter, with poor load factor, and flying semi empty planes at a loss between november and february. But now, Norwegian will be able to fill up planes with charter guests with a load factor of +95%. This is also very predictable revenue because of the prebooking nature of the prepacked charter holidays.

It is important to note that before Covid, NLTG was producing 1.2-1.4 billion NOK in EBITA. But because they had to scale down, during the pandemic, they are only now back at the same revenue levels. Now my guess is that the earnings are held down by the high fuel prices.

With these two acquisitions the new mission for Norwegian is clear: Become a dominant player in the Scandinavian travel and holiday market and service their customers through the entire journey.

Insiders

To lay the groundwork for the rest of this section I'll now go through the biggest stakeholders in Norwegian.

- Geveran Trading (John Fredriksen)

The richest man in all of Norway, and is the single biggest inside stakeholder in Norwegian. He owns 13.3% of the company. During the restructuring caused by the Pandemic, John Fredriksen came to rescue Norwegian with new investor money for the company. He has later added to his position becoming an even bigger stakeholder in the company.

- Strawberry (Petter Stordalen) and Altor Equity partners

Strawberry has made his money in the hotel business and Altor Equity Partners is one of the leading PE funds in the north. They have a stake of 8.9 % of Norwegian each and came into the deal via the Acquisition of NLTG, as they were the primary owners before the acquisition. Instead of leaving their beloved business, NLTG, behind, they choose to take a significant part of the deal in Norwegian stock.

The pr. share value of the stock was determined with a volume-weighted average price, over five days and got to a value of 14,95 NOK pr. share. This is higher than the current share price of about 13 NOK. We are currently able to buy Norwegian at a 10-15% discount to the big insiders.

Strawberry and Altor Equity Partners have a 180 days of lock up, before they are able to sell their shares.

In the NLTG deal they agreed on an earn out clause. Where Altor and Strawberry will receive up to 30 million extra shares of Norwegian depending on the average stock price between November 16th and December 11th. For every 0.1 NOK above 17 NOK share price, they receive 1 million shares of Norwegian in total, with a cap of 20 NOK. A maximum of 30 million new shares to the two new insiders is on the line.

What does this mean for us?

This means that these guys really believe in the synergies of the two businesses, and they are willing to bet that we will see the strength of the two businesses before November 16th. It also means that they have incentives to go out and say good things about the acquisition to drive up the stock price for us. If they get their full pay out from this, we as shareholders will see a quick 30-50% increase in the stock price.

Other than this I don't think Strawberry and Altor are gonna unload their shares when their lock up period expires, they seem to really like this merger and seem likely to be in it for the longer haul.

Besides the new insiders Altor and Strawberry, we also see positive sentiment from the current insiders. We saw a current board member buy almost 6.000 shares in july, and in may the previous Chair of board bought 25.000 shares at shares prices of 12.6 NOK and 12.95 NOK.

It is important to note that there has been zero insider sales in all of 2026, this is notable as it is common for the management and board members to sell shares continuously.

2027 Pro Forma EBIT and owner earnings

Because this situation is quite complex and with no realized earnings yet, this is my own calculations from previous numbers, and what management has said.

I've come to a calculation of an estimated 4.65 billion NOK in pro-forma EBIT for the entire business. I'll now take you through my thoughts and calculations to get to the 4.65 billion NOK.

Old Norwegian (contributing 2.3 billion)

The Old Norwegian will in my estimation contribute 2.3 billion NOK. These are numbers taken from the latest annual report and the two latest quarterly reports. This includes the Widerøe operations and excluding restructuring costs and hedging.

Program X (Contributing 1.25 billion NOK)

This is management's official target for their internal cost cutting and optimization program. They are going to achieve this through increasing their own fleet, cost control and new technology, synergies with Widerøe and the new collaboration with Spenn.

NLTG Acquisition (1.1 billion NOK)

Here I've taken the 784 million NOK of EBITA they presented in their investor presentation. Then I've taken the 2% immediate margin expansion they expected from becoming a part of Norwegian, which with the 16.5 billion in revenue, becomes 330 million NOK. We then end up with 1.1 billion in new EBIT from the NLTG acquisition.

You may note that the 784 million NOK isn't EBIT for NLTG, but EBITA. Norwegian writes in their acquisition presentation, that all the amortization is from goodwill and trademarks. So the EBITA is actually closer to the actual cash flows, coming from the business.

With all these parts we get pro-forma earnings for Norwegian at 4.65 billion NOK.

The reason I'm choosing to use EBIT as a proxy for the cash generative abilities of Norwegian is because of the nature of aircraft leasing accounting. The fleet leasing is recorded as a non-cash depreciation, above the EBIT line and when taking a look further down, we see that this non-cash depreciation almost perfectly lines up with the actual lease, which shows up below EBIT. I then choose to simply use the EBIT metric because of what Mr. Buffet taught us; when calculating owner earnings, we should always add back non-cash depreciation and subtract the actual maintenance cap-ex.

Tax shield

Before Norwegian went into bankruptcy, they piled up a bunch of tax deferred losses. A total of 1.57 billion NOK, which makes them able to make about 7.1 billion NOK tax free. These are numbers from 2024, and my estimation is that they have about 1.2 to 1.3 billion NOK left of the 1.57 billion, which makes them able to make approximately 5.7 billion NOK with no tax. With my calculation of a 4.65 billion NOK pro-forma EBIT, this means that they will use up the entirety of this tax shield within the next two years. Because of this tax shield I've chosen to set a tax rate for my scenario analysis of 15%, because of the discounting of money further out into the future. (Normal tax in Norway is 22%)

With this tax shield we then end up with earnings of 3.9525 billion NOK

DCF-analysis

Now, using the estimated cash flows I'll make two scenarios for the company. Airlines are very sensitive to fuel prices, and now we have super high fuel prices. Therefore I will make an estimate, where the fuel prices remain high, and margins low and another where the fuel prices come back down and the Iran situation cools off. Both scenarios are based on a conservative DCF analysis with the exit multiple method. I use a 10% discount rate, 4 % annual growth and a 8x P/FCF multiple.

The growth rate is set to a conservative 4% because of the synergies between Norwegian and NLTG that haven't played out yet. 8x terminal value multiple is the current average multiple for airlines. This multiple is also quite conservative as the entire industry is currently on a low.

Conservative with oil prices at 80-90\$

All numbers in millions			
Year	Free Cashflow	Discounted	
0	3,95		
1	4,11	3,74	
2	4,28	3,53	
3	4,45	3,34	
4	4,62	3,16	
5	4,81	2,99	
6	5,00	2,82	
7	5,20	2,67	
8	5,41	2,52	
9	5,63	2,39	
10	5,85	2,26	
Terminal Value	46,81	18,05	
Intrinsic Value (billion NOK)		47,46	
Share price		35,15	

Oil prices comes back down scenario

What happens with the earnings of the company when we go to a scenario with oil prices coming down because of the Iran war coming to an end?

Before the war jet fuel was trading at approximately 800 \$ per ton. The current price is about 1050\$ per ton. This gives us a difference of 250\$ per ton. With their current fleet, plus the extra aircraft from Sunclass, I estimate they are using 950.000 ton fuel

$$250\$ \times 950.000 = 237.500.000 \$ = 2.219.241.562 \text{ NOK}$$

Then I'll bet some of it will be competed away, and make tickets cheaper for consumers. For simplicity's sake, let's go with 2 billion NOK we can add to the EBIT calculation.

Then after taxes of 15% we end up with 1.7 billion we can add to our free cash flows. This gives us a staggering 5.6525 billion NOK in cash flows.

All numbers in millions			
Year	Free Cashflow	Discounted	
0	5,65		
1	5,88	5,34	
2	6,11	5,05	
3	6,36	4,78	
4	6,61	4,52	
5	6,88	4,27	
6	7,15	4,04	
7	7,44	3,82	
8	7,74	3,61	
9	8,05	3,41	
10	8,37	3,23	
Terminal Value	66,94	25,81	
Intrinsic Value (billion NOK)		67,87	
Share price		50,27	

Here with the fuel prices normalizing, we get to an intrinsic value of 50.27 NOK per share, with the same growth and discount rate.

While this target does not reflect current immediate crisis pricing, I choose to show it to demonstrate the potential upside for this thesis.

I think this is a super asymmetric case, especially if you think oil prices will come back down at some point, then I think we can expect Norwegian, and other airlines to do much better. And even if oil prices stay high or go even higher than now, I still think the Scandinavians are going to prioritise their vacation to southern Europe.

Risk

There are some general risks that apply for the entire airline industry. This is because of the low margins and their sensitivity to macro factors. You have probably heard Mr. Buffet was very explicit about his purchase of airlines and about how he regretted it. He thought that the expansion and the increase in efficiency only led to lower ticket prices for the consumer instead of profits for the shareholders. And I agree with him, but I think that this case is too asymmetric to ignore and I think it is positive that Norwegian is going towards a different strategy by diversifying and getting other factors into play, other than the price of the tickets they are selling.

Another factor, being more specific for this case, is Norwegians' reliance on currencies. Almost all their revenues come in the Scandinavian currencies (DKK, SEK, NOK). But nearly all their expenses come in USD, because fuel and the aircraft is often purchased in USD. This means a strengthening of the USD relative to the Scandinavian currencies, would inflate their operational expenses and drag down earnings with it.

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalyst

- Upcoming earnings

We will see what the actual financials are gonna look like, instead of my estimations.

- November/December Earn out trigger

Strong words from insiders, because of the earn out incentive of 30 million new shares.

- Oil coming down = instant margin expansion

Messages

No messages